Retention Agent

Razorpay × ISB AI PM Build Challenge | Track 2: Recover and Grow with AI

Merchant, problem and evidence

I studied Razorpay's recent D2C investments, chose a merchant persona, mapped its customer journey and compared the retention tools at each stage. That led me to growth or retention managers at mid-size Shopify skincare and haircare brands, where products run out on a predictable cycle and many orders are cash on delivery (COD). They often run broad campaigns with blanket discounts and judge them by attributed sales. Attribution can credit orders customers would have placed anyway, and can hide refunds and COD orders refused at the door (return to origin, RTO). So the merchant struggles to answer **which repeat orders were worth paying for, and what the brand actually earned**. In my interview with Vartika Mittal of NatHabit, whose experience includes D2C retention and growth, she described the time it takes to define cohorts and build campaigns with internal tools, and how hard customer-level intelligence is to produce. In a DSGCP × Meta × ViralMint survey of 100+ D2C brands, **70% cite CAC/ROAS inconsistency, 55% under-invest in CRM/retention, and most report 10-30% repeat-purchase rates**.[1] The interview supports the workflow problem; the profit question is my hypothesis, which the pilot tests.

What the agent does

The agent works from three sources: Shopify orders, the payment provider's payments and refunds, and the courier's COD and return outcomes. In the prototype these connections are simulated. **Razorpay checkout is not required**, so the product could reach D2C merchants who process payments elsewhere; whether that leads them to move processing to Razorpay is a hypothesis to test. The agent proposes reorder-reminder, second-order and win-back campaigns. For each eligible customer it decides whether to make contact, which product to suggest, whether to offer a discount and how large, and whether to ask a COD buyer to pay online, with a one-line reason built from that customer's data. The merchant edits the audience, products, discount cap, budget and WhatsApp message, then approves, schedules or pauses. Nothing is sent without approval. I deliberately left out a full CRM, cross-merchant targeting and live integrations.

What the AI does, and how it differs from rules

From catalog information, each customer's history and patterns among comparable buyers, the intelligence layer is designed to produce three estimates: **which products a customer is most likely to buy next, when they are likely to reorder, and how likely they are to buy with and without each permitted offer**. Margins, costs and payment/delivery risk then translate those estimates into an action: the agent picks the permitted option with the **highest estimated additional contribution**, whether a reminder, a discount, a pay-online request or no contact. A larger discount is chosen when it earns more. Take three customers due to reorder shampoo. For the first, a reminder is expected to raise the chance of buying enough to cover its cost, while a discount would only reduce contribution: **a reminder with no discount**. For the second, 10% off raises the estimated chance of buying enough to cover its cost, but a COD order carries high delivery risk: **the offer, with a request to pay online**. For the third, no permitted offer is expected to earn back its cost: **no contact**. The proposed models estimate response for each customer and action, rather than relying only on fixed timing and offer thresholds; a pilot would test their value against a credible rules baseline. In the prototype, transparent formulas with stated assumptions stand in for trained models.

Trust, control and learning

Orders, prices, stock, consent and costs come from sourced data and explicit rules, never from the AI. Payment risk informs delivery economics, not discount sensitivity. Approval freezes recipients, offers and content; any edit needs re-approval. Before each send, the system rechecks consent, recent or pending orders, refunds, stock and contact frequency. Every campaign keeps a **control group of eligible customers who receive no message**, reserved across campaigns so groups never overlap. An order counts only once it is delivered, paid and past the return window. In production, these outcomes would recalibrate the purchase-timing and offer-response estimates, so each plan reflects what actually worked.

Success metric, result and next test

My primary metric is **additional collected contribution retained by the merchant after fees, per eligible customer, against the control group**, net of discounts, product, fulfilment and payment costs, refunds and RTO. Opt-outs per delivered message are monitored against an agreed threshold, and no one is contacted without consent. Discount spend per additional order is a diagnostic, not a target, because a larger discount is justified when it earns more. Pricing follows the metric: an illustrative 25% success fee on positive additional contribution after campaign losses offset gains, charged only after the return window. **In a synthetic 90-day scenario with one campaign opportunity per customer across the same 2,500 customers, the agent raised collected earnings by 7.2% before the fee and 5.4% after it over no outreach, under default response assumptions; a blanket 20%-off sale raised them by 0.3%.** If messages create no additional orders, the sale loses 4.3% to discounts while the agent loses 0.4%. Next, I would test campaign preparation and decision clarity with more merchants, then run a controlled pilot through the delivery and return window against no outreach and a credible rules baseline, measuring the same metric plus preparation time and opt-outs.

[1] DSGCP × Meta × ViralMint playbook, printed pp. 19, 31, 46. Findings describe the survey sample; the repeat-rate window is unspecified. Interview insight is paraphrased. All prototype merchant data and simulated performance results are synthetic.

Working prototype · **Detailed product rationale** · **AI build log**